

Procure Space ETF

SPCX NASDAQ

Hold	\$148.03 ▼ 0.22%	12M Price Target \$165.00	52-Week Range \$104.83 – \$225.64	Market Cap \$1.95T
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SPCX: Space Trade Idles Waiting on SpaceX Launch Catalyst

WHAT HAPPENED

- SPCX drifted down another 0.22% to \$148, capping a rough week where it gave back the \$154 bounce. The 24/7 Wall St. headline nails why — the whole space trade is "sitting in neutral" waiting for the next SpaceX Starship launch. When one company (SpaceX) drives sentiment for a whole ETF, the ETF just sits there until that catalyst hits.
- Big deal buried in the news: 328M SpaceX shares just came off lockup (meaning early investors and employees can finally sell). Mizuho reaffirmed Outperform anyway, but more sellable supply almost always caps upside short-term — that's likely why SPCX can't get out of its own way this week.

WHY IT MATTERS

Here's what I think is really going on: SPCX has become a proxy bet on SpaceX (via its private holdings and satellite exposure), and the market is in wait-and-see mode ahead of both the next Starship test and a potential SpaceX IPO. The Alphabet/SpaceX orbital AI story is the real long-term thesis — if the terrestrial power grid genuinely can't handle AI compute (which is what Barron's is flagging), space-based data centers go from sci-fi to a fundable trend, and every satellite name in SPCX gets re-rated higher. Near-term though, the lockup expiry is a wet blanket on sentiment. Bullish options flow (put/call at 0.71, unusual call buying at \$147-150 strikes) tells me traders are positioning for a bounce on any launch success or IPO headline — that's the setup to watch.

POLICY & POLITICAL WATCH

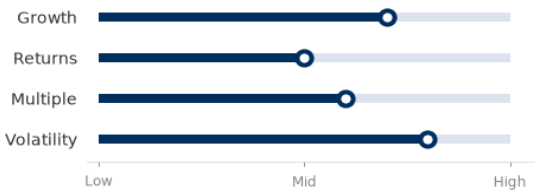
The Trump administration has been aggressively pro-space — FAA launch licensing has been streamlined, and the FY27 defense budget currently in Congress includes a proposed ~15% boost to Space Force procurement, which flows directly to satellite manufacturers held in SPCX (Iridium, Rocket Lab, Planet). Watch the Trump-Xi meeting headlines closely — any China tech decoupling talk usually helps US satellite/launch names because it forces allied governments to buy American for defense comms. The wildcard is export control tightening on space tech, which could actually hurt SPCX components that sell internationally.

IS IT EXPENSIVE?

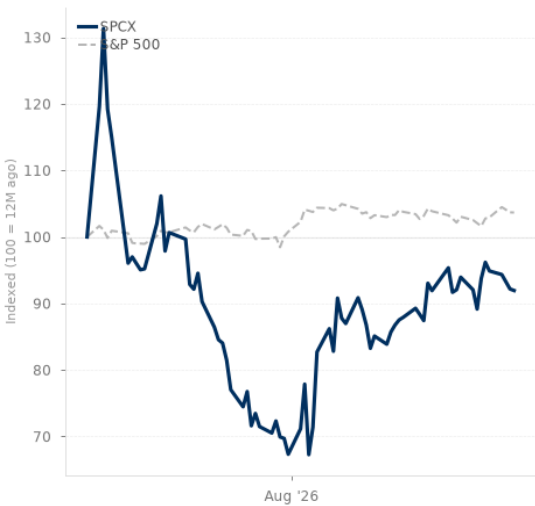
Key Data

Price (USD)	\$148.03
12M Price Target	\$165.00
Upside / (Downside)	+11.5%
Market Cap	\$1.95T
FY2026E Revenue	\$0K
FY2027E Revenue	\$0K
FY2026E EPS	\$0.00
FY2027E EPS	\$0.00
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$165.00	\$152.00	\$140.00
6 Months	\$190.00	\$165.00	\$130.00
1 Year	\$225.00	\$180.00	\$120.00
2 Years	\$275.00	\$210.00	\$110.00
5 Years	\$400.00	\$280.00	\$90.00
10 Years	\$650.00	\$425.00	\$75.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Communications Services (+1.25%) leading — that's a direct read-through to SPCX since satellite comms live in that bucket. Google's orbital AI news is bleeding into the whole sector.

COOLING OFF: Financials (-0.18% today, -2.23% this week) — rate cut expectations getting priced out. Not a direct SPCX problem but tightens funding for capital-intensive space startups.

ROTATION WATCH: Money is quietly rotating from pure AI names (crowded) toward AI-adjacent infrastructure plays like power, cooling, and now space-based compute. That rotation helps SPCX if it sticks.

RELATED PLAY: If orbital data centers become a real thing, the ground-station and satellite-servicing names benefit second-order. Also watch nuclear/SMR names as the "Earth-based" competing solution — they're the pair trade.

WHO'S WINNING IN THIS SPACE?

- GOOGL (Alphabet): Testing AI in orbit with SpaceX — literally driving the "space is the new data center" narrative that supports SPCX's premium.
- TSLA (Tesla): Morgan Stanley's Tesla robotics note is being read as bullish for SpaceX's \$300/share private valuation, which lifts SPCX's NAV.

SPCX CONTEXT: SPCX is lagging the broader comm services rally (-0.22% vs sector +1.25%) — that lag is the lockup overhang. Once that gets digested (probably 2-4 weeks), SPCX should catch up to sector momentum, especially if a launch catalyst hits.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — I like the long-term setup but near-term you're fighting lockup selling and waiting on a catalyst you don't control.

POSITION SIZE: 2-4% of portfolio — real upside but real volatility (52-week range is \$105-\$226, that's a 115% swing).

ENTRY POINTS: I'd add on pullbacks to \$140-145. If Starship launches successfully, chase up to \$160 but don't pay \$180+ without an IPO announcement.

TIME HORIZON: 12-24 months. The catalyst I'm waiting for is SpaceX IPO clarity and confirmation that orbital AI is more than a Barron's headline.

WHEN TO BAIL: Starship catastrophic failure, defense space budget cut in reconciliation, or if it breaks \$120 on volume — that means the thesis is broken, not just dip-buying opportunity.

HEDGING: Simplest hedge is smaller position size. If you want to get fancy, pair it with a short on the most speculative single-name satellite stock in the basket — you keep the "space theme" exposure but hedge the frothy names.